Zach Is Turning Bullish… So What Could Go Wrong?

Podcast: Know your risk

AI Executive Summary

1. Core Thesis: The podcast hosts present a nuanced market outlook where bullish momentum ("wind at its back") driven by strong tech earnings and high valuations contradicts growing macroeconomic headwinds including rising inflation, geopolitical friction, and persistent commodity deficits. While the S&P 500 is hitting new highs with the Nasdaq composite outperforming small caps, the hosts remain concerned about re-emerging inflationary pressure, a potential return of volatility if oil demand stabilizes while storage levels hit record lows, and the unsustainable CapEx spending by AI hyperscalers. Ultimately, they advocate for balancing exposure between defensive commodities like oil and high-growth technology while warning against over-reliance on public market valuations that ignore underlying operational costs and infrastructure bottlenecks.

2. Key Arguments & Data:

3. **Market Performance:** The S&P 500 reached a new high; the Russell 2000 (Q4/Qs) is breaking above its downtrend line following the June 3rd peak, outperforming small caps by 1.16% vs 0.26%. The All-World index (XUS) remained flat at 0.2% growth within this range.
4. **Yield Curve & Inflation:** While 10-year yields reached auction-high levels in 2007, the 30-year yield remains near historical highs (~5.2%). PPI data suggests a potential inflation resurgence with PCE at 3.6% (nearly double the Fed's target).
5. **Commodity & Oil:** Despite oil price volatility and "miraculous" demand drops reported by some, US oil inventories remain in severe drawdowns (SBR below 300 billion barrels). Diesel crack spreads hit an all-time high of 98/100. The hosts argue that the lack of refining capacity to absorb oil supply drives prices despite global demand debates.
6. **AI & Tech Sector:** Hyperscalers continue revenue growth despite valuation concerns regarding their capital expenditure (CapEx). Avile notes hyperscalers face "black box" CapEx risks and limited power/broadband infrastructure. SpaceX/Starlink is highlighted as a

unique play with real business potential in AI broadband, though valuations remain high.

7. **Geopolitical & Policy:** The hosts discuss the need for pro-free-market policy reform to address modern monopolies (antitrust), comparing China's competitive industrial environment to 19th-century market consolidation (Rockefeller analogy). There is skepticism regarding government intervention in markets versus free competition.

8. **China & Autonomy:** Chinese tech companies are advancing autonomous systems and efficiency gains in mining/autonomous vehicles faster than the US, creating pressure on US profitability models.

9. Actionable Takeaways:

10. **Monitor Oil Inventories vs. Data:** Do not rely solely on global demand narratives to predict oil prices; watch for continued US SPR drawdowns as a primary indicator of supply deficits.
11. **Diversify Tech Exposure:** While AI is the dominant trend, be wary of hyperscaler stock valuations and CapEx sustainability; consider opportunities in underlying infrastructure (like broadband) that supports AI growth.
12. **Stay Alert to Inflation Data:** The market can withstand short-term fluctuations if inflation cools, but prepare for a 2-10% drawdown if PCE or PPI data indicates hot inflation numbers re-emerge.
13. **Adjust Commodities Positioning:** Consider overweighting oil and energy-related assets relative to the S&P 500 given the risk of supply constraints and lack of balancing in commercial refining throughput.
14. **Ignore Short-Term Gyrations:** Do not change long-term strategic positions based on weekly data fluctuations; focus on fundamental economic balance rather than political noise or tactical trade timing.

Full Transcript

When I look at all the different check engine lights on my dashboard and all the different things I see, obviously anything can happen at any given moment, but assuming that nothing out of the blue occurs, this very much feels like a market that has nothing but winds at its back. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the Daily Dots. And if I seem overly perturbed today, it's because I am. And the reason I am is I am a bit of an orca killer whale enthusiast. And I live on a bay on the Pusa Sound. And one of the things I was excited about living on this bay for was despite growing up near saltwater my entire life, I've never seen orcas and I'm just a huge fan of killer whales. Well, Yesterday, in the same day, my next door neighbor sends me three videos of the Orcas playing with his boat. And the first thing Chase tells me today is, hey, did you see the Orcas yesterday? These things were literally what, like by boat ride, probably a mile from my house, mile and a half from my house. Yeah. Missed them again. So what, and I don't know, in the last 14 months, they've been inside my bay twice and I missed them.

You need to set up some alert system. You need an AI agent to tell you, to like text you whenever it's go time. Dude. I would probably be in Nashville with you at a Tony, Tony Greer conference, if that happened, or I'd be visiting Dimitri and Dallas, or you know what I mean? Like just, it's, I'm sure everybody logged in to hear my rant and raving about Orcus. You

know, Chase, it really, I can find something to get fired up about pretty much every day. You know, it's not news to the listeners. Right. Everybody's like shocker, man. Hey, at least, at least it's Orca's and not some political get off my lawn stuff for today. You know, at least not yet. Yeah, that's right. Well, I just said, I mean, we're a minute 37 in, buddy. Don't just don't. Hey, summarizing though, got some really good feedback on that interview that we did with Avile. And I couldn't recommend more people listening to it. And I was talking to a buddy of mine that's in the business.

And he's like, you know, that was a really interesting perspective. And I was like, man, thank you for noticing because that's one of the reasons I want to talk to him is just, I don't really know, I'm sure there are, I don't know of any other guys in that space that are creators, that are founders and that are also now investors and have done and are really doing all three simultaneously at the same time. And it really provides kind of an interesting Look through it and and I know what you I know what I I know you'll understand this But it's really hard to You know you want to talk to insiders you want to talk to people to do the do the work and and you know are in the middle of AI But you also want to hear it from an investor perspective, right? For sure And and that was that was that was the part about it that I really enjoyed and he's a no-nonsense really smart guy also on the also on the uh hold on a second Cyrus what the hell are you doing do you not hear me talking do you not hear me talking oh okay I thought that was you talking okay well call sorry Elliot I didn't even know was here uh okay do that do that in another room guys I'm on a podcast sorry Elliot didn't know that was you man all right I really don't think can Darren edit that out I just wrote down the time, Sam, so I think he's good. OK, OK. We should leave it in there, actually. You had just got done talking about get off my lawn arguments. And I'm yelling at a kid. It's days. I'm yelling at a kid who I think is my son. And it's actually one of my son's friends who actually plays for me on my football team. And he's a great kid. And I'm unbeknownst, ripping his ass because he's talking to his mom. So anyway, great.

It was an awesome chat with Avile and everybody should get into that because I thought he made some really good points. I also thought it was really refreshing to hear from him. You know, he's got a positive outlook on

it. He's investing in it, but he's also very much of, it made me feel more sane, you know, as a developer, as a guy who's investing, who lives part-time in Seattle, part-time in San Fran, deep in that world. He's also like, hey, it's a black box, man. We don't know, you know what I mean? We don't know which strata that we want to concentrate more of our bets in. And I think that in my opinion, I kind of left that conversation with him feeling a bit more gathered and a little more sane, just sitting there going, okay, so yes, the opportunity and the potential is everything everybody has said, but He kind of reassured me and let me know, yeah. Again, he didn't say this. Don't want to put words in his mouth. But there does not appear to be enough talk and enough reality concerning the risks and the downside potential and things. And the timelines, like Avile said, everybody thinks this is going to happen right now. It could be a longer play type deal. So anyway, I just found that really valuable.

kind of underscores you know you put a name like that on the podcast and I kind of file this under the no flames in the background type deal where everybody's looking for a big name and I'll be honest with you we've had some on the podcast and we've had great conversations but I love I'm all about getting a different perspective you know like truly not just a different opinion but like finding somebody You know, like him in the industry that's not going to give you just the CNBC or in Andreessen Horowitz take, right? You're going to get an actual subject matter expert, not someone who talks for a living. Right. Right. So, yeah, I thought that was a lot of fun. Anyway, we a bunch of different things to hit on. Strange. We had to run down before we do that. Yeah. Yeah. Kind of kind of weird action, at least to me, least to my eye. Yep. S&P hit a new high, kind of got out of that.

week-longish consolidation up 0.7. Q's even better at 1.16. And for my money, Q's a bit of a breakout. They're breaking above the downtrend line they've kind of had since the Buffett top back on June 3rd. Small caps though, only up 0.26. So that was kind of lame. And then max 7 was up over 1%. So that was nice and strong. A dollar flat, all-world XUS of 0.2 inside of Mag7. You had Tesla of 3.8 and you had Meta up 2.8. The rest was pretty small moves. Amazon was even down, but yields maybe one of the biggest stories of the day, thanks to a cool headline PPI at least. So you're

down five basis points on the two year, about four on the 10, three on the 30.

I will say though that the 10 I mentioned yesterday you know the the 10's auction was the highest since 07 the 30 year auction today had the highest rate since 2001 which was the year I graduated high school so that is I can assure you a long time ago but at the same time you know yields down today you're back you're still about 5.2 on the 30 but but we've you know come down like six basis points of like that here part of that too is oil oil down about two and a half percent on the day Gold and silver down a little over 1% each today gold miners down about 3% Platinum down two and a half lady about four Up or down so it's like a bit of a bit of a ugly day for commodities even though the dollar wasn't really up to much Vaul up about 0.8% so you have some upside Vaul today another almost 4% up for DRAM up 0.7 for chips so a Bit of an AI AI trade being on kind of day to day? Yeah. Um, I, I don't know how I mean, again, you know, everybody knows I'm not the technical magician out of out of, uh, not the, not the technical magician on our team by any stress, the imagination, um, right, wrong and different, whatever. Uh, for me, I find it somewhat egregious valuation fundamental guy. I will say this, this looks like a mark. This feels like a market to me. It's about ready to take off.

That's in the process taken off. I don't know what the charts say But I'm not really seeing anything too bullish or bearish. Excuse me I don't see You know until you see proof of a slowdown in the in in the AI world I Don't expect to see Any real disappointments on earnings as far and and I think people need to keep in mind, you know when we're talking earnings Don't look at the S&P right look and look at tech just flat out right like meaning You know if you think that Something's gonna cause really bad. You know earnings results in the energy sector. That's gonna spill over to this Okay, good that might impact four to six percent of the companies in the S&P 500 right wait I don't know what percentage of total S&P earnings that the Mag7 plus chip makers make up of the S&P 500, but my guess is it's probably north of 70%. Yeah, I mean, I'm sure Nvidia is just on its own. It's a huge shock burning. Right, there you go. So what you've got to look at is you're looking at a scenario in which now again, it shouldn't be a surprise to anybody. I mean, I think the military conflict with Iran will certainly make

any budget You know, any deficit forecast coming into the year, probably a little light. So that means government spending by de facto is going to be higher than you thought it was. They spent over 450 billion last month. Deficit spent. Deficit spent, right? Debt, yeah, yeah. Debt grew by 450 billion last month. We're about to hit the 40 burger. I mean, let's go for gold, baby.

That should be like the new campaign slogan just be like 50 trillion by 2030 like we're gonna get there we can do it America But you look at all those things and I'll just tell you right now as egregious as I find it Fundamentally as egregious as I find it what's going on geopolitically and all the different things that you heard me complain about all the time One of the things that that took me a long time in this industry to do is wrap my head around. Hey your job is to make money, right and and Um, one of the reasons I'm saying this right now is I hope I dearly hope that I'm wrong, but, um, just because, like I said, the valuation picture and all that kind of stuff still drives me insane. But I will say when I look at all the different, um, check engine lights on my dashboard and all the different things I see, uh, you know, obviously anything can happen at any given moment, but, you know, assuming that nothing, you know, um, you know, out of blue occurs, this very much feels like a market that has nothing but wins at its back. I'm not talking economy. I think we both got it, you know, we, if you haven't learned to separate those two by now, I don't know what you're doing. But it feels like a markets can take another like higher. You, again, you and I haven't spoken about this directly. We haven't spoken today. So I, you might entirely disagree, but that's what it feels like to me. I think the charts agree. So like, like I mentioned, the cues looks like it's breaking out to me.

It's from a downturn line perspective, not like a horizontal, which are more powerful. Obviously, tech earnings are incredible. But I do think part of that is the revaluation of private stuff on these guys' books, like Google getting to write up their investment in SpaceX and stuff like that, made their earnings look way better. So I think some of that is a little overblown. And I do think there's a lot of wind at our back right now. But the way I would frame it is, I think a lot of the wind that has been at the markets back for the last two months has been inflation had two really nice months of not being a problem. So I think if you believe you can keep getting more and more

months of inflation not being a problem, then the market's probably going to be fine. I think if you think inflation is going to kind of make a bit of a comeback, and oil's up, whatever it is, 18% month over month or something, then it might become an issue again. And obviously what the Fed does with that becomes an issue. So I think if you would have got hot inflation this week and you absolutely did not, you got kind of inline to cool when you combine PPI, you still have yields pretty high. You have stocks up a little bit this week. I think if those would have came in hot, you would have had yields way up and you would have stocks down a good bit.

I think you're good unless inflation comes back and my base case is inflation does come back. No, I don't think that means you're going to, you know, the markets are going to be problematic. I just think it means markets are kind of, you know, between up 2% and down 10%, you know, in a few weeks, if we do get more heat come back into inflation and I just, I think we do. And speaking of that, like PCE inflation is, looks like it'll be three and a half, three, six. which is one, you know, almost double what it's supposed to be for the, for the, for the feds, you know, target. And I keep seeing the headlines. There's one that came out a little bit ago from Bloomberg. Modest July PCE to keep fed on hold in September. Modest. Like it's three and a half percent. You know what though? I got to say something. You know, we've talked about the impacts of it. Um, but, and, and I know, look, for the, for the listeners, that like the whole get off my long type stuff, right? I guess I'll have to supply it today. Yeah, you're probably not going to like to hear me say this, but you know, I keep hearing these, I keep hearing these economic numbers and you get these short term gyrations and you and I have talked about this dynamic for a long time, which is like, you feel like you get a week or two where the market is responding to data in a way that makes sense. And you're like, oh yeah, we should be concerned about that and all that kind of stuff.

And then eventually, as is always, now everybody's going to be like, that's the way markets always work. And you're like, no, no, no. Markets get back to normal usually when problems are resolved. When they're when they're dealt with, this market is so used to just whistling past every single graveyard and walks by. And to be fair, it's been correct. Most, you know, you know, the old adage of predicting 18 of the last two recessions, right?

Having said that, I just, you know, I don't know that as it relates to the stock market chase, I think we're in this weird period of time where I think all that stuff may impact it for a short period of time, but really doesn't do anything over the long period of time. I agree over the long haul. Yeah, I mean, we know we're looking at a market. We know we're looking at a 10% drawdown because of some inflation and rate hike feeders, and then it's ripped back because it's been cool since. So I think it is definitely moving the market right now.

Yeah, I think that I think I think you see it continuing on what we've seen for a long time, right? I think that you you get kind of the marginal buyers in there that respond to real information and real data and real economic forecast. And as soon as that dust kind of settles, well, everybody knows you just buy Meg 7, right? And you just see the ramp going higher and higher and higher and you know, like you and I said, And I'll be really, you know, I guess the right terminology isn't surprised. I'll be disappointed and probably a little bit more concerned if I don't see this. And I certainly don't put it outside the realm of possibility, but I would expect to see the lockups and the paper and the stock sales start to weigh on these things. But I'll be honest with you, I haven't heard or seen any evidence anybody cares.

I mean, the only place I have really heard now, granted, I don't listen to a bunch of other podcasts. There's a few other that I listen to and have them and listen to them a lot lately because, you know, I am doing my pseudo sabbatical here. But, you know, when you talk about one of the reasons not to buy the hyperscalers is because if everything keeps going good, they're going to keep drowning you out in stock. I don't really hear anybody else talking about that. I will say this though. Max seven is up 3.8% on the year. That's yeah. It's not really doing that much. Yeah, that's you were. Yeah. If you're in all, if you're in all-world XUS, you're up 17%. You know what? You know what? We can break that down. I've been very critical of the market. I did not know that right there. I thought it was, I thought it was more, you know, I just assumed to be kind of neck and neck with the Qs. Now Qs is different. Qs, because Qs brought the chips with them and everything. You know what, man? I got to give, I got to tip my cap to the market on that one. If you're looking at the hyperscalers, And your attitude to the hyperscalers regarding what's going on, because to be fair, a lot of

them are seeing revenue bumps and profit growth continuing and all that kind of stuff. So if your attitude is to sit here at these valuations and wait and see, that seems like a very logical approach with them. I think that that's a little bit too sanguine. But that's a take that I don't feel like is nuts. You know what I mean? Right. Totally. Because like you said, You can think whatever you want. You can think AI is a joke. You can think it's second coming to Jesus Christ. The one thing that we have to keep in mind is like them, hate them, love them, whatever. These are the most unbelievable businesses that have ever been built, just full stop. And so the question is, is will this investment destroy or greatly hinder what has been built?

And you know what? That makes me feel much more, that makes me feel much more constructed, man. I didn't know that. You know, this is why I watch the daily dots to get these data points. That makes sense though. That feels, that feels not insane. And that's to go back to the headwinds, tell ones thing, that is still a potential headwind. It's like the market has at least sobered up to the capex to where anytime they come out with some big capex move. Or, obviously, they come to capital markets with their hat in their hand. The market punishes them for it. So that's why they have lagged. And to be fair, the chips in the memory and stuff, they're making so much money right now that it's hard for that stuff to not go parabolic, because the freaking revenue is going parabolic. What do you want from them, right? Yeah. But that stuff's impossible to value. And I think, I was going to say, Claude, I think if Anthropic and open AI were already in the public market. I think they'd be in huge drawdowns right now. So like, you know, maybe I'm wrong and we'll see how the anthropic, you know, you know, the first few months of its trading goes after they get public, but I don't know, man. I mean, you're sitting there looking at SpaceX still holding up just, I mean, just recently, it just bounced above it, but still holding leak. I mean, you're still what, five, six percent above the IPO price. I think you're below where it first started trading at least.

Barely, but yeah because I the IPO price was it one 141 or no, what's the IPO pro like 135? I want to say right on the market was right about 150 Yeah, I was yep. Yep. Yeah, so yeah, so you're right under that I you know if the bottom doesn't fall. Well, that's not fair I will tell you this, if I had to pick between owning SpaceX Anthropic or ChatGPT at around a trillion

dollars, or pardon, owning SpaceX at 1.5 trillion, I'd prefer it on SpaceX. And the reason I say that is the underlying real business is inside of SpaceX, meaning... At least I could sell some internet. They can sell a ton of internet. The other thing that I found really interesting that I hadn't thought about before, but yesterday in that conversation with Avile, he made the comment, he goes, Zach, let's talk about broadband. And I go, okay. And he goes, when you, he goes, first of all, people are greatly, and we've spoken about it, but he said people are horrifically understating the bottleneck that power is right now.

and is going to be and he goes us inside this he goes you know ram tightness chip tightness all that kind of stuff is an issue he goes what we're really concerned about he goes the market's going to take care of that and he's like we're all convinced we're paying too much for it now but we're all convinced that um you know the market will take care of the chip side of it he goes the power side of it nobody's got any answers right um then the other thing he said too was he goes this feeds right over to internet accessibility and he said One of the things that people, he started, he was explaining to me, and I don't know if you've heard this terminology and you probably haven't had a chance to listen to the interview yet. I'm assuming I've not yet, but he's talking about something that I hadn't heard about, which he's talking about harnessing agents. And so he was, he's talking about how this is the latest evolution.

of you develop your agents, you have agent managers overseeing certain agents, but the way that you're tying it all together and getting it to kind of work in a well orchestrated way is what they're calling harnessing them. And I'm probably butchering the heck out of the explanation. But what he was saying was, all of this is going to create massive needs for increased connectivity. And he goes, when you consider the issues that we've got on the power side, he goes, there isn't nearly enough broadband out there. And he said, so a service like Starlink, he goes, as overpriced as I think SpaceX is, he goes, that Starlink part of it, he goes, I don't see any other way that you're going to get the broadband access that you're going to need considering what this build out is going to continue to do. Now, hey, let's put the most lofty expectations on Starlink. Is Starlink going to carry 50% to 60% of the weight of that current market cap? Of course not.

But what I'm saying is at least you have real businesses embedded in there where something is kind of like the other hyperscalers. We have something to fund the compute. Right. Right. Yeah. And he was talking about how he thinks that is such a huge advantage, right? That you do have those interior. But the other thing that he made a comment of too, which which you and I have spoken around. I don't know if we've addressed it directly. And he said, but, you know, that's also one of the things And I think if I'm remembering it correctly, he said something along the lines of that's one of the things that makes the hyperscalers or the big boys in the Google less attractive, because he goes, if they hit it quote unquote out of the park with an AI model or whatever. And he goes, well, that'll ramp the revenue, but how much? He goes, you know, are you going to 5x that from there? No. And what he was saying is that He's seeing so many more opportunities on the much smaller scale, basically something that you and I have been talking about where he's fishing primarily with app builders based on AI right now. That's where it's at to me. Yeah. Cool mousetraps that people use. Yep. And he just said it's because of the spend. He goes, so we're all kind of sitting there cheering him on.

Right because he goes they're all spending at a level that none of us can and he goes and it is a black box We don't know what the returns are going to be and he goes but he goes we're all benefiting from that spend because we can piggyback on the model You know and it in a weird way it kind of confirmed what you and I were saying which I think the opportunities are tremendous But I think and part of it's just the limited accessibility you have because so many of these plays are private still right and so People are going to glom on, and we've seen this happen in any other kind of rush or any other kind of fad, where people are going to glom on to anything in the public markets that is even adjacent to these things, right? And because they're publicly traded, they're going to get valuations that are kind of unrealistic and, you know, way too high. But that was another interesting comment to hear from him was that he very much, I wouldn't say echoed, but He had a similar take on where he thought the value was. And not to say that he didn't think there was value there, but basically kind of reiterated what you and I were saying is, again, putting words in his mouth, but effectively those other big quote-unquote hyperscalers and stuff, he put it in the too hard pile, like meaning.

Yeah, we think they can develop great stuff, but the money they're going to spend doing it. And there are any, and he's like, there's no end to the CapEx and site, you know, all the stuff that you and I know. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. It will be fascinating. But, you know, every time I find myself getting somewhat more constructive on some of these things in the US, my brain immediately flips over to Chinese tech. Yeah, same, always. Especially since they're doing almost as good as we are in the AI space, but for cheaper. And they're integrating it into the real economy much more effectively than we are with robots and stuff. So yeah, in fact, I was just reading I was just reading today. And the valuation story is obvious. All the autonomous stuff they're building for their mining operations is just incredible. Like they're getting to the point where they barely need people for mining operations. Even the giant trucks they're running on lithium batteries and stuff just just in their autonomous they just drive themselves and you know. Dude well so it's another really it's another interesting thing that markets are fascinating to me.

But remember how we were talking about one of my finger of all time, and it doesn't happen very often. I think I've probably heard it maybe like four or five times in my career in 20 years of doing this. Is that oldie but goodie? Yeah, we know that sector is going to be profitable, but we don't think the stocks will benefit from it, right? And when you look at what is going on with energy, you know, progress, energy technology on all way shapes and forms, battery technology, and especially autonomous vehicles and all that kind of stuff. I hate to break it to you, but all the gold miner haters, all the precious metal haters out there, those businesses are getting less bad by the day. They're getting less bad by the day, right? You're getting renewable forms of energy.

That are increasing which help those guys energy costs are big are they're not as big as people make them out to be for especially high-grade miners, but But it is an input cost and then you go from there to labor, right? These the other thing too the other thing too that I heard was the efficiency gains

that they're getting at some of these mines with autonomous driving is insane. So like the efficiency gains they're getting in terms of fuel consumption, but also wear and tear on the on the trucks themselves is is it's I don't want to quote the numbers because I can't remember it. But I remember it was kind of one of those where it's it's eye popping. And you're like, wow, this is making a dent that is big enough.

to where you're going to see, you're going to see a serious impact, a real impact on the bottom line of so many of these companies. And you know, listening to guys like Avil talk, it really is interesting like how the commodity, the energy, the metals part of the AI story is just being not in terms of price, you're seeing movements in the price. But everybody's, you know, nobody's talking about that as if that's part of it. When you look at all the quote unquote building that needs to happen, You don't have the commodities for it. The bottom line. And I'll continue to sit here and pound the table on that, man. I continue to believe that people are extraordinarily under-invested in natural resources, commodities, precious metals. And I'm not sitting here lobbying for 40% of your portfolio to be in those things. But that seems to be pretty obvious to me. Yeah. Let me pivot a little.

Just something popped in my head when we talk about China for a second, you know, well the China's Issues with their equity market are first of all they have insane competition Which means they don't have incredible profits the way we do which is both good and bad They don't have you know a retirement industrial complex throwing everybody's money at it the way we do like stuff like that But so on the competition side The like the EV space is one where it's just so obvious. There's there's so many different companies making great cars and the The competition is like really fierce. And I think it's easy to forget for another throwback, you know, like yesterday was 20s. Now I'll go back to the kind of mid to late 1800s. Like if you go back to Rockefeller, if just in Cleveland, he had 30 competitors for refining, refining oil into kerosene, 30 competitors just in Cleveland and Cleveland wasn't even the best place to do this stuff. You know, really it was Pennsylvania was the best place to do it. So like it's, it's easy to forget that. So.

But after 25 years and he consolidates almost the entire industry, then all of a sudden he's making incredible, insane profits. If you owned his stock the first few years, it probably wasn't that fun because he wasn't making much money. In fact, there were times where the crack spread was negative because turning oil into kerosene, you had to sell the kerosene for less than you bought the oil for because there was too much competition. So I think there's a bunch of that in China now because they're just hitting this innovation. explosion that we had basically in the 1800s and parts in the 1900s. So it takes a lot of patience probably for them to get profitable, for them to consolidate, for the weak players to move on to something different. But I can't help but see that analog to that young, hungry, fiercely competitive backdrop we had once upon a time.

That's a really interesting comp, man. You and I have not discussed that before, and you're right. That is a really interesting comp. Kind of makes me feel like, kind of makes me think back to Rocky 3, you know, when Rocky's in there. he's training in that glitzed out place you know with the music and the band playing in the background and then they flashed Mr. T that's just in that underground bunker just you know getting his you know what i mean like just it's um and i want to hey i'm his red blooded american boys is there could be and and uh but but it is you know not take this down a depressing political deal but um you know it seems like It seems like if we were two NFL teams, it seems like we're the team that spend half a practice like practicing our touchdown dances while they're doing like, while they're doing just Oklahoma drill, bowling the ring, you know, just like getting after each other. And it bothers me, man. It bothers me because that's the part of capitalism and free markets and kind of the American spirit and all that kind of stuff. Like, hey, not only are we the best and brightest, but we're just gonna outwork you, right? We're just gonna work you under the table.

It just ain't so anymore. Yeah, I think so right now and cyclical just you know, whenever you're doing really well you get a little lazy and you know and when it comes to markets and capitalism like You know the capitalists end up having a lot too much power too much power over politics too much power over competition and then they get fat and dumb and lazy and less competitive It came out. I think it was yesterday that we were about to license the interceptors production to Ukraine, and the president even said

we were going to do it, and then a few days later he kind of backtracked. The reporting, at least, is that Ray Theon and Lockheed were like, whoa, whoa, whoa, like, no. And the reason they didn't want to do it is because they literally are afraid that within, you know, not too much time Ukraine would be able to make them better faster cheaper and they could that is not no no no chase they are they are purely looking out for the quality of the environment for the good of the us servicemen that's what that's all about those guys are patriots before they're capitalists come on man you know better yeah what a joke um you i remember you know what was sad is i remember you and i having that conversation where it was about a two minute conversation over this topic. And then we both just laughed and went, that's not gonna happen, right? In terms of letting other, cause we're like, yeah, no, it'll hurt profits, it's not gonna happen. And it's kind of one of those where you say it euphemistically or you say it kind of in a casual offhand way, hoping that you're wrong, right? Then you see the news story come out and you go, no, unfortunately we weren't, unfortunately we weren't. And, you know, that's kind of one of the reasons and not to go down the political route again, but that's kind of one of the reasons where you know, I think that the model of Teddy Roosevelt is so important right now, because I really think, you know, I really think that you need to get either pro free market Democrats, or pro free market Republicans. Anyway, you need to get you need to get sane people that that understand the benefit of free markets and capitalism, they need to lead the charge of busting up the modern monopolies that we've got. I'm not going to make a list of who those are because I'm not really sure, meaning what I know is that I think that this is a much bigger conversation than saying, you know, picking out the Meg 7 and going bust them up. In my opinion, what we need to do. And again, when you look at the in-couch trend nature and the dug in nature of politics right now, I think it's going to be really hard. But that's where I sit there and I go, look, we need to get the best and brightest together. And we need to first of all define what a modern monopoly looks like, right? Because the economy has shifted so much, we can't use the old metrics. And then we need to come up with a way in which we can, for lack of a better term, bust them up, but not, you know, not do it in a vitriolic, oh, screw the, you know what I'm saying? Like we need to right-size these things and we need to get the economy back in balance. And, um, go ahead. The way I would, the way I would describe it, we've got times yesterday

with the communism stuff, like we, we need like a wholesale software change in the way our economy works, but we need to run the same operating system.

And I think I think where you get like the communists or like Whatever other like big big systematic change things. It's they want to change the operating system and let's like whoa The operating system is fine, but our software is is you know got a bunch of bugs in it now And I just think we'd be like a whole government like approach to like injecting more competition and making The whole economy more competitive whatever that looks like, you know, it doesn't I don't care about I don't know if it's antitrust. Yeah, it's probably way, way bigger than that. Probably has to do with education, the tax system, immigration, you know, the visa system. You name it, the dollar's value. Like, it should just don't leave anything out. Like, look at all of it. Let's change all of it a little bit and find ways to make this more competitive. And the biggest thing is expose yourself to competition.

to make yourself get better, you know what I mean? Yeah, and that's what kills me so much about the Communist talk, where you look at them and go, guys, and you and I brought this up again, but you go, look at China. Quit treating capitalism like, A, look, I know that in the political arena, there will always be those of us who want to rely on government more for answers. There's always going to be more of us that want to rely on free markets for answers. Hopefully, both sides recognize that you need both. Right? What scares me so much and more about the extreme left movement in this country is this complete disavowing of free markets and doing it in an incredulous way in which you're an idiot if you don't get it. And that's where you're pulling out your hair going, guys, stop. Be a better communist. Be a better socialist. Look at China for an example.

treat capitalism even if you're not like me which you don't need to be right like maybe you're a little more pro-government you know like but at least view capitalism as a really good racehorse that you're going to ride and take advantage of right like at least acknowledge that look at the communists right now look how they've grown in power look how they brought people out of poverty we're just going to ignore that right the free market dynamics

have brought in what what 400 400 million 500 million out of poverty over a billion. Yeah. Yeah. Well, I mean, in the country, but I mean, out of poverty, you've still got a high poverty rate in China. I mean, compared to us, right? Um, but, but it's just it's an ethmo where again, I just keep going, but it's like, it's like having a political movement, you know, around the idea of bringing back leaching and carbureted engines, you know, like What? Your answers to go backwards? Not even the communists are doing that, right? Like I said, they're even bad. Speaking of carbureted engines, though, there was a really nice, I think 67 Camaro driving by to see the Orcas yesterday. So maybe we shouldn't think it was bad. Yeah, that's, you know, I'm not a big car guy. I'm really not.

But like one thing that I would like is like a restored and somewhat modernized, you know, fuel injected little, little, little easier. But like a muscle car, like a, you know, a Camaro Super Sport, you know, dream would be like a 67 Shelby GT 500 or something like that. You know, I don't know. I just always had a thing for muscle cars. Yeah. And I wouldn't want to fluid it, but maybe like one. Yeah. Yeah. Yeah, one one good American muscle car would be fun. Anyway, um, that could be that could be our other podcast talking about American muscle There's the name right there Probably like 14 named that all right, right a hundred percent. Yeah, there's a few bodybuilding ones a few car ones Yeah, yeah Let's see what what else did we what else did we miss? I got two more things one We talked about the oil inventory thing yesterday from the US. One thing that is one of the mention that is contributing to that, the fact that the Babelman Dabstreet is closed means now you have to go through the Mediterranean all the way around Africa to get that oil to Asia or you can get through the Mediterranean and just pop over to America, right? So we're actually getting a decent amount of Middle East imports again all of a sudden. So that's part of why, like why do we have so much oil?

Now, obviously, we'll find a way to balance this so far. The US will probably re-export some of that or whatever, or export more of our own, whatever the case may be, kind of fungible, right? And the other thing I wanted to mention just flies right in the face of what I've talked about the last couple of days with Iran. So apparently, reportedly from Israeli media, at least, the CENTCOM commander has been trying to pitch, going back to

bombing and hitting the, going back to the power plants and the oil infrastructure and everything. He was telling the folks in Israel that's what he wanted to do and was pushing really hard for. We'll see if that all pans out, but at least reportedly that's what he's pushing for, which flies in the face of my view that it makes the most sense for the US to just do very little different moving forward. Maybe I'm increasingly open every day that this goes on.

And I feel like I've been all over the place with this one, but I'm increasingly open to the idea that maybe we were more right than we thought, which is they're just looking at market, like as long as markets and oil stay tame, they're not going to relent. Maybe that's, maybe that's the belief inside. I mean, it's kind of feeling like that just because on a tactical basis or on a mission base, a strategic basis, there's no point in still being there. I mean, what are we doing? This is another day of not quitting. That's all it is. Yeah. Yeah. Just not, just not, just not realize the loss. Yeah. Yeah. I mean, I feel like we've got like a minute left in the fourth quarter. We're down by 20 points and we're going to spend our timeouts trying to engine. You know what I mean? Like, yeah. Or be down 93% on a bad trade and being like, if I don't close it out, I didn't lose. Yeah. But we can dollar cost average. Huh? We can dollar cost average. Yeah. I, I, uh, that's what the cent com commander wants to do.

The other one I was laughing about just And again just things that you know from watching these industries and these things for a long time Like a miracle all of a sudden Oil demand is lower than we thought the EIA came out right it's the EIA right energy Yeah, oh You know energy demand is falling more and I'm like So what you guys mean is China hasn't been buying as much Well, speaking of, they are starting to come back. Their July imports were higher than June. August expected to be higher than July. So they're still low, still well off the highs, but they're coming back. No, but it's just so economically illiterate, Chase. Like you read the otherwise serious people, once again, working their way backwards off of the price of oil.

and otherwise serious people really suggesting that, oh, well, global oil demand just happened to drop four or five percent this year. And that's why.

And you look at them and go, guys, global oil demand doesn't just drop four or five percent in a year. Are you idiots? What global oil demand from the beginning of the great financial crisis to the bottom of it, when major banks were going under, nobody could get a job, MBS markets were completely frozen, no bid, all this stuff, global oil demand dropped 3.5%. And you're going to really posit the idea that oil spiking to 120 and settling in between 90 to 100 all of a sudden just erased 4% to 5% of global oil demand.

I will say that the refining side, like the throughput for refining is definitely been hindered a good bit, which at the end of the day is kind of just oil demand. And speaking of diesel cracks hit 98 today, all time high. Yeah. So they, they, Houthis hit a refinery in Saudi Arabia and that's what pushes up another leg there. So again, like the fuel that you buy at the store. I don't care if it foils 70, 80, 90, 60. If the diesel is 6, who cares? And we may be back to diesel being 6. Yeah. I mean, you're not. I mean, you're not. You're a 15% runaway from that. I think you're right around. Yeah, 15%, 18% away from that. I mean, well, you know what? I'm also talking about Washington state prices where we pay. Yeah, we're probably already there to watch this. Yeah. Well, we got the largest. Largest.

which is another rich one, right? There is literally no more regressive tax in the world than a tax on fuel. And yet we lead the country in taxes on fuel, and yet we're trying to make the tax code more fair. Good God. So the national average is about 5.25, something like that. So yeah, you're 0.75 for being six bucks. Yeah. Yeah. How high have you gotten to? The highest we've been in the war was about 560, something like that, I think. So you could be back there pretty quickly. Yeah, I don't even know what to make about the straight anymore. I just continue to be fascinated by people making up the narratives and trying to work their way backwards off it. And I will continue to say, and if you disagree with me, that's fine. But I'll continue to say, look, don't be overloaded, Noel.

I would certainly be overweight in oil and oil related assets when you're comparing it to the S&P 500. Just hold it. Don't trade it. At the end of the day, SPR continues to draw. And that's what I keep going back to. You show me SPR draws that stall out or an SPR that starts building. I'll swallow some crow and I'll start listening to some of these arguments about

miraculous global oil demand collapse and we're working around the straits and all these 3d chess arguments until I quit seeing massive draws I mean I I really don't know when you want to see where we're at in terms of the state of the state of oil and everything like that maybe there are more reliable metrics right now but I just that to me feels like kind of your baseline right like quit talking to me about this quit talking to me about that every time somebody posits a new theory or a new idea gets proven wrong within 48 hours, even though nobody seems to care. You know what I mean? Like nobody seems to care about it. But meanwhile, you just keep seeing draws on the SBR. And I think it's a matter of probably less than a month, at least definitely less than two months before we get to the point where you get the announcement of more SBR draws. Because the US is technically almost done with the scheduled one.

So I think it's imminent that we have to announce that we're going to keep going. I think you're going to have to probably get the same out of out of Europe and Japan most likely. Why do they have to make an announcement that they're going to keep going? So IEA is the one that coordinates it technically, which is a global body. Oh, so I so I did screwed up. I called it the EIA. Well, there's both. So EIA is like a US agency and then IEA is. I basically asked for formed international one that that was the whole idea of that one was to coordinate on SPRs after the you know the first time the The Gulf region messed with the global oil supply. So Yeah, yeah, I think it's imminent that Chris writes on the record saying we're not gonna do another one, but I'm on record saying yes, we will Yeah, I mean as long as you have that constraint there and you don't want to see oil up around 121 30 I dot again I'm open to the idea, you know, I have I've been too wrong so many times about things where you know You started off and you refuse to change your mind. I'm open to these things being I just How many different what we're now six and a half months in right? Is that right six and a half months in somehow? Yes. I mean think of how many nonsense BS And I'll just say a bullshit stories we've heard over the six and a half months that all work to lower oil, yet at the same time, you've continued to see SPR draws inventories, reach record lows, you know, and it's like nobody goes back around and revisits their thesis and was like, well, If what I was saying was right three months ago, then we wouldn't have seen these unbelievable historical draws and the SPR wouldn't be below 300 billion barrels, yet here

we are. And it's funny that as that underlying reality confirms that everything they said is wrong, nobody goes back and revisits it. And I just, like I said, I'm looking for a reason not to be concerned about it. It's not like our portfolio is living and dying or hinging on the price of oil.

It's just amazing to me. It's a hard dynamic to explain. I don't want to call it manipulation. I don't think that many people are coordinated in trying to manipulate it. I don't know if it's just mind mush. The confusion and the arguments and the base surrounding oil right now, I find them very perplexing. It seems like a pretty Now, obviously there's nothing simple about the global oil infrastructure, the global markets and system. And I'm not saying that, but in terms of this situation, it still seems pretty simple. Look, you have a very significant percent of the global oil flows that are restricted. And we're filling in that gap with storage that is running down to historical lows. We're not at panic time.

but we are very much on an unsustainable path and all of these pet theories about why the markets and they're just all nonsense. Again, if the market's in balance and there's this miraculous thing that's happened, why are we at 1983 levels on the SBR? And the funny thing is, man, you and I have been involved in a couple of these conversations and not unpleasant, not like we're debating or fighting people over or getting mad, but every time I ask that simple question to somebody that's the argument, oh, that's markets and balance and here's why, and then I ask them about the SPR levels and that's where the conversation stops. They don't have an answer. And, you know, I'm wide open to where, if somebody has an explanation for how the market can be balanced and do all these kinds of things, and yet we're still at record low levels in the SPR, somebody explain that one to me outside of the fact that we don't have a balanced market and that we're filling in the gap. Until I hear a credible, the consternation and the debate and the hand wringing and the confusion over this whole topic is perplexing to me. It just seems really simple.

Do you know of a better metric to be considering the current debate? Considering the people like us who are like, no, you still have a problem. And all the other people, like the Javier Blas guy, do you follow him? Yeah, I'm aware. I don't know anything about him, but he's a guy that I've listened,

you know, a person that I've taken serious. I don't, I can't figure out what in the world that guy's talking about. I mean, I think I'll give him credit for being sort of On the early edge of getting the ship ship transfer stuff, right? Yeah off off the coast of one and stuff. It's like sure of UAE like But and I haven't I haven't seen him say we're like we're in balance or like something like that other than when we did have that You know a glut for like three weeks or whatever on which was relevant but Other than that Anyone that thinks like oil is balanced or or better like To me, you know can't count but but at the same time like you know the one thing that we and basically everybody got wrong was the biggest oil importer on earth Slash their imports by a third. That was a huge deal that really took the sting out of what would have been a crisis and turned it into a You know a stock problem, but not a flow problem essentially And you know when you have a stock problem not a flow problem and some things you rip And oil, you don't like the oil market does not treat SPR barrels as real. It's like, whatever, they don't count anyway. So that's just, that's fine. Like show me the commercial barrels. That's all I care about. So in that light, I think oil, I think oil is undervalued where it's at, but not by a lot. But if China picks up, if refining runs pick up globally, because they stopped behind each other, then all of a sudden oil has to catch up to, you know, new demand from both China and just global refiners. And that's when oil can probably go up more than it makes sense. At that point, the oil balances look better, and then oil price looks worse. You know what? You're bringing up a possibility that I don't think we've really discussed at any great length, and I haven't heard anybody discuss it at any great length, which is, you know, it's funny. You think of a term called crack spreads, and this scenario has kind of redefined what the word spread.

in that term means, right? So yes, spread has always been the cost, right? Spread has never meant the delta of how much the cost exceeds the underlying asset. Do you see what I'm saying? Like we've kind of inverted the term, we've inverted the definition of the word spreads as it relates to crack spreads. And I think you have to entertain the idea of If they keep hitting refinery infrastructure, in a weird way, you could say one of the things that's holding down the price of oil is the fact that there's so many screwed up refiners around the world that can't put out the distillates. And

so they can't soak up the oil. And so you could see a scenario where you've got 85 oil and 7.50 a gallon gasoline. Right.

Which which at that point people would point to well oil's not up. Well, who cares like you and I pointed out, right? No, but we don't we're not from a policy perspective from a macro perspective. It just yeah, it couldn't be less relevant. Yeah, that's that's that's really a crack spreads at 95 98 you said on diesel crack spreads. Yeah. And what? Yeah. And what's diesel going at a barrel right now? Oh, that has to make it whatever that is like close to 200 bucks. Yeah, yeah, like 180 180 180 something like that. Yeah Wow, that's unbelievable man. It's pretty expensive and diesel is pretty important for the economy Just in case folks forgot and apparently CPI and PPI forgot this month, but we'll see what happens for August numbers Yeah Anyway, you got anything else man about does it for me? Oh good to go All right, brother, me too. Anyway, as always, you guys can follow us on social media. I'm at KYR Radio Chases at Pinecone Macro. Go to the website for advisory services, bulletcapitalmanagement.com. You guys know the drill. Thank you so much for listening. We'll see you tomorrow. Have a wonderful evening. You're listening to Know Your Risk Podcast at liveinsubscribingknowyourriskpodcast.com.

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